# Risk Profiling

**28 Sep 2021**

COPYRIGHT NOTICE
Copyright © 2018 Intellect Design Arena Limited
**All rights reserved. These materials are confidential and proprietary to Polaris and no part of these materials should be reproduced, published in any form by any means, electronic or mechanical including photocopy or any information storage or retrieval system nor should the materials be disclosed to third parties without the express written authorization of Intellect Design Arena Limited.**

# Revision History

| Version No. | Change Reference No. | Author | Reviewer | Published Date | Section Changed | Description Of change |
|---|---|---|---|---|---|---|
| 1.0 | | Patanjal Nag Biswas | Neha Rathore<br>11 Oct 2021 | 28 Sep 2021 | | Base Version |
| 1.0 | | Patanjal Nag Biswas | Vinay Kumar<br>18 Oct 2021 | | | Base Version |
| | | | | | | |
| | | | | | | |
| | | | | | | |
| | | | | | | |
| | | | | | | |
| | | | | | | |

## Contents


1. Introduction 4
2. Risk Profile Questionnaire Maintenance 4
3. Risk Profiling 5
4. Field Details 6


•

# 1. Introduction

A risk profile of the customer defines the risk that the customer will be able to take. The customers are provided with the risk profile questionnaire aimed at gauging the risk taking willingness and risk taking capability. Based on the responses, the appropriate risk profile is assigned to the customer.

# 2. Risk Profile Questionnaire Maintenance

1. Risk Profile Questionnaire can be defined by the user in CRM.
2. For SBI, risk profile will consist of 3 parts
    a. Part A – Financial Profiling (Non Scorable)
    b. Part B – Investment Knowledge Profiling (Non Scorable)
    c. Part C – Risk Profiling (Scorable)
3. User will login to the application and navigate to CRM.
4. User can hover over “Maintenance” and click on “Questionnaire”.

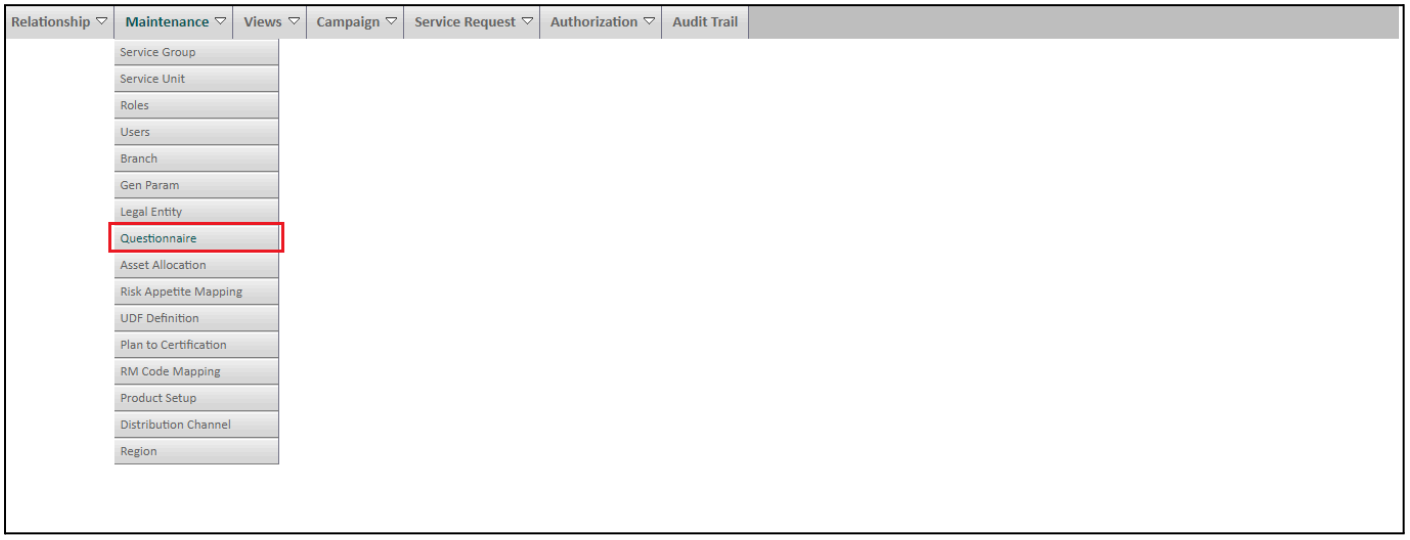


Figure 1: CRM – Questionnaire Maintenance

5. The grid will display all the questionnaires that are currently defined in the system.
6. To add a new questionnaire, user needs to click on “Add”.

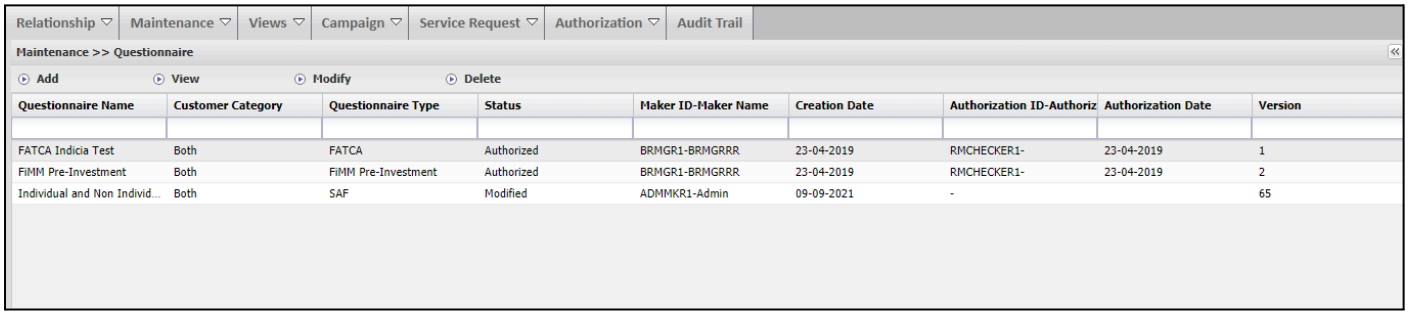


Figure 2: Questionnaire Maintenance grid

7. User will be able to enter the “questionnaire name”, select the “customer category” and “questionnaire type”.
8. Under questionnaire type, the following values will be available.
    a. Part A – Financial Profiling (Non Scorable)
    b. Part B – Investment Knowledge Profiling (Non Scorable)
    c. Part C – Risk Profiling (Scorable)
9. User will also have the option to enter the “effective start date”, “effective end date” and “valid period”.
10. As per existing process, system will validate that there is only 1 questionnaire for a given combination of customer category, questionnaire type, effective start date and effective end date.
11. If a questionnaire with “customer category” as “Both” is already defined for a given period, then for the same period no other questionnaire will be allowed to create with “customer category” as “Individual” or “Non Individual”

12. User can enter a suitable disclaimer to be displayed at the time of risk profiling by clicking on “Disclaimer”.
13. Once the details are captured, user can click on “Save” button to save the questionnaire in the system.
14. Upon saving the questionnaire, the same needs to be authorized by the supervisor.

## 3. Risk Profiling

1. For risk profiling, user needs to log into the application and navigate to “PMS”.
2. User will search for the desired customer and click on the icon to initiate the risk profiling.
1. The current risk profile of the customer will be displayed. If the customer does not have a risk profile, system will navigate to the risk profile questionnaire.
3. The risk profile questionnaire consists of 3 sections, please refer to the figure 3 for the mockup.
4. Each of the section is collapsible. On loading the page, the first section will be automatically expanded. Rest of the sections can remain collapsed
5. The questionnaire for each of the section will be fetched from the questionnaire maintenance.

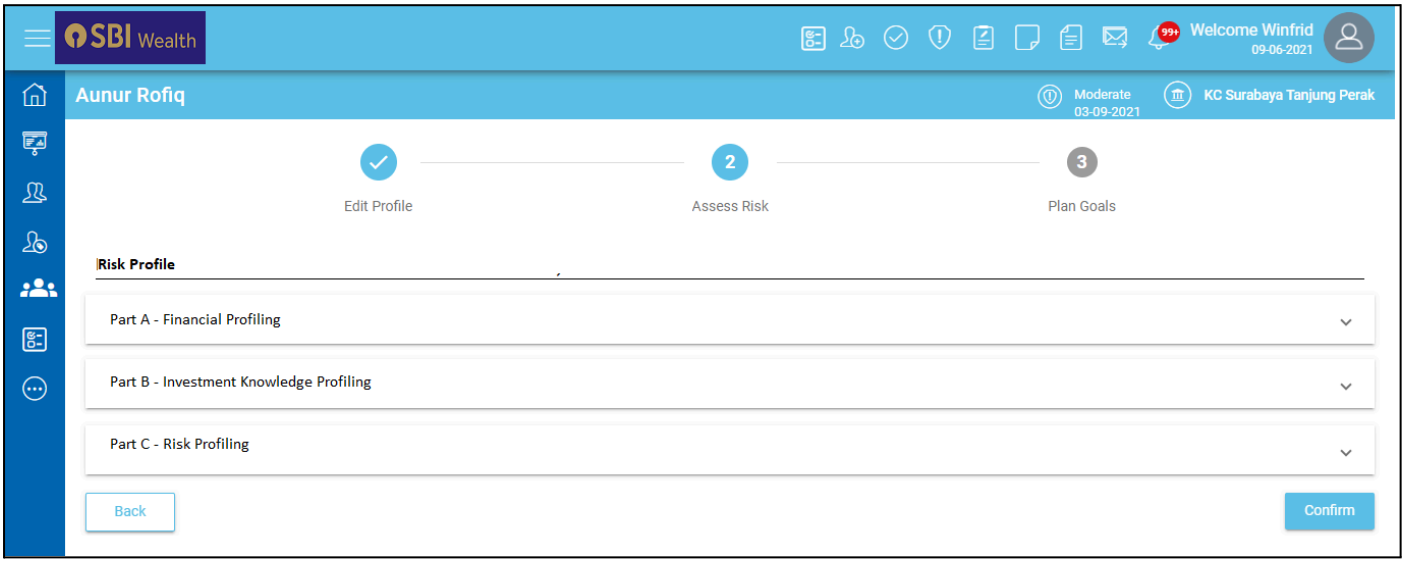


Figure 3: Risk Profile Questionnaire

6. Customer will provide the appropriate responses for each of the question.
7. Upon submitting the responses, system will compute the appropriate risk profile to the customer.
8. At present, customer has the provision to deviate from the system calculated risk profile. However this is not applicable for SBI.
9. This section will be an engineering configuration item and needs to be switched off for SBI.
10. For SBI, customer will not have the provision to deviate from the system calculated risk profile.
11. If customer is not satisfied with the system calculated risk profile, he/she can do a reassessment of risk profile.

Figure 4: Risk Profile deviation. This needs to be switched off for SBI

12. The client’s acknowledgement will not be required and needs to be removed.

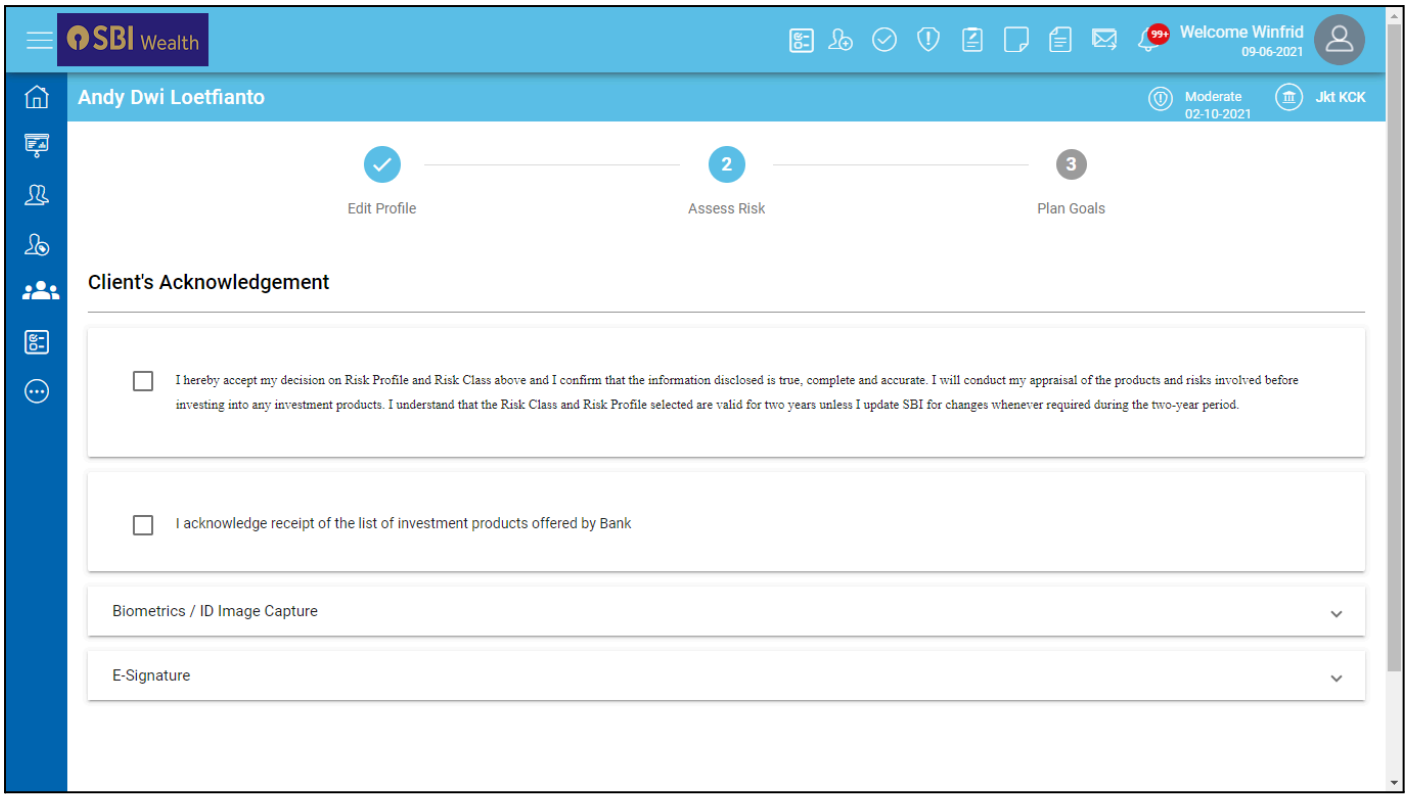


Figure 4: Client Acknowledgement – Needs to be removed.

## 4. Field Details

| S No | Field Name | Field Description | Field Type | Editable | Data Type | Mandatory | List of Values | Remarks |
|---|---|---|---|---|---|---|---|---|
| **Questionnaire Maintenance** | | | | | | | | |
| 1 | Questionnaire Name | Captures the unique questionnaire name given b the user | Input | No | String | Yes | Not Applicable | |
| 2 | Customer Category | Captures the customer category for which the questionnaire is captured | Select | No | String | Yes | 1. Individual<br>2. Non Individual<br>3. Both | |
| 3 | Questionnaire Type | Captures the questionnaire type | Select | No | String | Yes | 1. Part A – Financial Profiling (Non Scorable)<br>2. Part B – Investment Knowledge Profiling (Non Scorable)<br>3. Part C – Risk Profiling (Scorable) | |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| 4 | Effective Start Date | Captures the effective start date of the questionnaire | Select | Yes | String | Yes | Date Picker | |
| 5 | Effective End Date | Captures the effective end date for the questionnaire | Select | Yes | String | Yes | Date Picker | |
| 6 | Valid Period | Captures the period for which the risk profile will be valid | Input | Yes | Numeric | Yes | Not Applicable | |
| 7 | Is Score | Captures if the questionnaire is scorable | Select | Yes | String | Yes | 1. Yes<br>2. No | |
| 8 | Questionnaire Description | Captures the risk profile question | Input | Yes | String | Yes | Not Applicable | |
| 9 | Mandatory Type | Captures if the question is mandatory or not | Checkbox | Yes | Checkbox | Not Applicable | Not Applicable | |
| 10 | Multi Select | Captures if customer are allowed to enter multiple responses | Select | Yes | String | Yes | 1. Yes<br>2. No | |
| 11 | Scoring Type | Captures scoring type if the question is a multiple response type | Select | Yes | String | Yes | 1. None<br>2. Range | This will be non editable and set to “None” if Multi Select is “No” |
| 12 | Computation Type | Captures the computation logic for the risk score | Select | Yes | String | Yes | 1. Sum | |
| 13 | From | If the scoring type is Range, this captures the lower value of the range | Input | Yes | Numeric | Yes | Not Applicable | |
| 14 | To | If the scoring type is Range, this captures the upper value of the range | Input | Yes | Numeric | Yes | Not Applicable | |
| 15 | Score | If the scoring type is Range, this captures the score for a defined range | Input | Yes | Numeric | Yes | Not Applicable | |
| 16 | Answer Description | Captures the responses of the risk profile question | Input | Yes | String | Yes | Not Applicable | |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| 17 | Weightage | Captures the score for the responses | Input | Yes | Numeric | No | Not Applicable | |
| 18 | Warning | Captures the message to be displayed in client acknowledgement form | Input | Yes | String | No | Not Applicable | |
| 19 | Acknowledgement | Captures the acknowledgement message to be displayed in client acknowledgement form | Input | Yes | String | No | Not Applicable | |
| 20 | Disclaimer | Captures the disclaimer message to be displayed at the time of risk profiling | Input | Yes | String | No | Not Applicable | |